IT3120 - Modern Enterprise Management

Legal and ethical Issues in IT-Businesses

Tutorial 07 – Legal and ethical Issues in IT-Businesses

Tutorial Objectives

By the end of this tutorial, students will be able to:

- Identify legal and ethical issues in IT scenarios
- Apply ethical frameworks to real-world IT dilemmas
- Understand software licensing requirements
- Recognize data privacy principles in practice
- Develop a personal ethical decision-making framework

Part A: Case Study Analysis

Case Study 1: The "Helpful" Developer

An IT professional named Priya works at a Sri Lankan e-commerce company. A colleague asks her for help with a project that uses proprietary software. Priya discovers that the company hasn't purchased proper licenses for several software tools they're using. She knows this is illegal but also knows her team is under pressure to deliver results quickly. Her manager says, "Everyone does it, and we'll buy licenses when we have the budget."

Questions:

1. What legal issues does this scenario present?
2. What ethical issues does Priya face?
3. What should Priya do? Provide at least three possible options.
4. Which option would you choose and why?

Case Study 2: The Data Breach Dilemma

A cloud service provider in Sri Lanka discovers that a hacker accessed customer data containing names, email addresses, and phone numbers. The breach occurred 3 months ago but was only detected recently. The company's CEO wants to quietly fix the security issue without notifying customers, fearing loss of business and reputational damage.

Questions:

1. Identify the legal and ethical issues in this scenario.
2. What are the potential consequences of not notifying customers?
3. What should the company do, and why?
4. How does the CSSL Code of Ethics apply here?

Part B: Software Licensing Exercise

Scenario: The Startup Dilemma

A startup called "EduTech Sri Lanka" is developing an educational app. They need to build their platform using various software components.

Software Components Needed:

1. Database system - They're considering MySQL (open-source, GPL license)
2. Text editor for code - Using VS Code (open-source, MIT license)
3. Design software - Considering Adobe Creative Cloud (proprietary)
4. Customer management - Considering Salesforce CRM (SaaS, proprietary)
5. Operating System - Debating between Ubuntu (open-source) and Windows 10 (proprietary)

Tasks:

1. Licensing Analysis: For each software, explain:
    - What type of license it has (open-source or proprietary)
    - The main restrictions and permissions
    - Any costs involved
2. Decision Matrix: Create a table comparing:
    - Cost considerations
    - Usage rights
    - Modification possibilities
    - Distribution restrictions
3. Recommendations: For each software category, recommend which option is better for the startup and explain why.

Part C: Ethical Decision-Making Framework

Activity: Creating Your Ethical Compass

Step 1: Framework Development

Using the CSSL Code of Ethics and the lecture content, create an ethical decision-making framework using the acronym "ETHICAL":

E - Evaluate the situation
T - Think about stakeholders
H - Highlight legal requirements
I - Identify ethical principles
C - Consider consequences
A - Act with integrity
L - Learn and reflect

Task: Write a brief description of what each step involves.

Step 2: Apply Your Framework

Use your ETHICAL framework to analyze this scenario:

"An IT consultant is offered a lucrative contract by a competitor of his current client. The contract requires him to use knowledge and techniques he developed for his current client. He hasn't signed a non-compete agreement."

Questions:

1. Walk through each step of your ETHICAL framework.
2. What would you do in this situation?
3. What would the CSSL Code of Ethics say about this?

Part D: Discussion Questions

1. "Should IT professionals be held personally liable for data breaches that occur in their systems?"
2. "In developing countries like Sri Lanka, should we have different standards for data privacy compared to developed countries?"
3. "Is it ethical to use AI for hiring decisions, even if it shows some bias?"
4. "How much responsibility do tech companies have for what users do with their platforms?"
5. "Should software companies be able to make changes to their software that remove features users paid for?"
6. "Is it ethical to collect user data to improve products, even if users don't understand how their data is used?"